Nick had mentioned that you had another portfolio manager working for you last year. I wonder what that experience taught you.

It taught me that I didn’t need him [another hearty laugh]. Everyone has a different perspective. The person we hired to be a portfolio assistant had an investment style that was completely different from mine. He approached stocks from a business school perspective, looking for the best business models and best companies. That is okay, but he didn’t have the courage to average down into a position. Also, the stocks that he followed were not the stocks that I followed. As the head portfolio manager, I am also the risk manager and have to follow all the positions. He was hired to help me save time, but I was spending more time following his positions, which interfered with following my own positions. Training someone to think like I do about the markets, which is more like a stream of consciousness, is very difficult. It is totally different from the way they learn to think in business school.

What are the trading rules you live by?

It is really important to manage your emotional attachment to losses and gains. You want to limit your size in any position so that fear does not become the prevailing instinct guiding your judgment. Everyone will have a different level. It also depends on what kind of stock it is. A 10 percent position might be perfectly okay for a large-cap stock, while a 3 percent position in a highflying mid-cap stock, which has frequent 30 percent swings, might be far too risky.

Why do most people fail at trading?

To be successful in the markets, you have to be willing to change your opinion. Most people are not willing to change their opinion. You have to be humble about your ideas.

What other mistakes do people make in trading?

Most people are more afraid of making money than losing money.

What do you mean by that?

There is no real reason to sell a stock just because it’s up 20 percent.